

Deemed supplies for GST [¶32-023]

[¶32-023]

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In addition to the actual supply of goods and services, certain specific activities are deemed to constitute supplies where they might not otherwise be considered to do so. The following are deemed to be supplies:

- # entertainment expenses
- # games of chance, instant games, lotteries and prize competitions — s [5\(10\)](#), [\(11\)](#)
- # games in casino premises — s [5\(11B\)](#), [\(11C\)](#)
- # supplies by public and local authorities — s [5\(6\)](#), [\(7\)](#)
- # race and sports betting — s [5\(8\)](#)
- # certain uninvited direct sales (such as door-to-door or telephone sales) and layby sales once a change in ownership in the goods sold is confirmed — s [5\(4\)](#), [\(5\)](#)
- # a contribution made to a local authority as a condition of consent under the Resource Management Act 1991 or the Local Government Act 2002 — s [5\(7B\)](#), [\(7C\)](#) ([¶32-668](#)).

A deemed supply can also occur if 2 or more companies amalgamate and the amalgamated company is not registered for GST immediately after amalgamation. The activities and transactions discussed below are deemed to amount to “supplies made in the course of a taxable activity”.

Sale in satisfaction of debt — s 5(2)

Goods sold towards the satisfaction of debts and goods repossessed under a hire purchase agreement are deemed to be supplied in the course of a taxable activity carried on by the debtor. The debtor is deemed to be a registered person. Goods will not be deemed to be supplied in the course of a taxable activity if:

- # the debtor has notified the person selling the goods (the creditor) that the supply would not be a taxable supply if made by the debtor, or
- # if the creditor has not been notified, the creditor has determined that this is the case on the basis of any reasonable information held.

When a debtor provides an incorrect statement to the creditor in these circumstances, the debtor is liable to return GST on the supply themselves. Where the debtor has not provided the creditor with any statement as to the GST treatment of the supply, the creditor will be treated as registered and be required to return the GST on the sale (s [51B\(1\)\(b\)](#)).

Cessation of registration — s 5(3)

A supply is deemed to be made in the course of a taxable activity if a person ceases to be a registered person. Goods and services forming part of the assets of the taxable activity carried on by the person are deemed to be so supplied immediately before the person ceases to be registered and output tax will be payable in respect of that supply. See Case N64 ([1991](#)) [13 NZTC 3,488](#).

Cessation of registration of non-resident — s 5(3B)

When a non-resident ceases to be a registered person, any goods that are part of the person’s taxable activity that are present in New Zealand at that time are treated as supplied by the person in the course of the taxable activity immediately before cessation of registration. Similarly, any services that would be performed in New Zealand as part of the person’s taxable activity at that time are also treated as performed by the person in the course of the taxable activity immediately before cessation of registration.

Deemed supply of asset by transfer of ownership — s 5(3C)

Section [5\(3C\)](#) provides that if the transfer of an asset on cessation of registration would be a financial service (eg when a supply has been made but the purchaser has not yet made payment, the resulting debt security may be an asset of the taxable activity) or the transfer of an emissions unit, the person is deemed to make a supply of the asset by transfer of ownership. This ensures the supply of the debt security may still be treated as an exempt financial service and the deemed supply of the emissions unit is zero-rated under s [11A\(1\)\(s\)](#).

Levy paid under Climate Change Response Act 2002 — s 5(6AA)

The synthetic greenhouse gas levy paid under the Climate Change Response Act 2002 is treated as if it were consideration for a supply of services in furtherance of a taxable activity carried on by the New Zealand Transport Agency if the levy is paid on a leviable motor vehicle, or the Environmental Protection Authority if it is paid on leviable goods, and is subject to GST.

Note: Effective 30 June 2026, this levy is repealed.

Land transport fees and charges — s 5(6AAB)

Land transport fees and charges (made under the regulation-making power in s 167(1)(j) of the Land Transport Act 1998) and paid to a person are treated as consideration for the supply of services in the course or furtherance of a taxable activity by the person.

Note: Effective 30 June 2026, this levy is repealed.

Motor vehicle registration and licence fees — s 5(6A)

The New Zealand Transport Agency is deemed to make a supply of services when receiving motor vehicle registration and licence fees. That supply is deemed to be made in the course or furtherance of a taxable activity carried on by the New Zealand Transport Agency (s [5\(6A\)](#)). Therefore, the fees are subject to GST.

Note: Effective 30 June 2026, this levy is repealed.

Fire and Emergency New Zealand levy — s 5(6AB)

The fire service levy that is collected by insurance companies as part of the fire and general insurance premium is treated as a supply to the insured person in the course of a taxable activity and is therefore subject to GST. The levy is paid to Fire and Emergency New Zealand. Interest and penalties imposed on the insurance company to ensure correct and prompt payment of levy funds are exempt from GST.

Note: Effective 30 June 2026, this levy is repealed.

Waste disposal levy — s 5(6AC)

Section [5\(6AC\)](#) specifies that the 3 central payments made in relation to the waste disposal levy payable under the Waste Minimisation Act 2008 are consideration for a supply of services made in the course or furtherance of a taxable activity and those supplies are subject to GST. These payments will give rise to input tax credits when they are made in the course or furtherance of a taxable activity.

Note: Effective 30 June 2026, this levy is repealed.

Road user charges — s 5(6B)

Road user charges are deemed to be consideration for a supply made by the New Zealand Transport Agency in the course of its taxable activity.

Note: Effective 30 June 2026, this levy is repealed.

Regional fuel tax — s 5(6BB)

Regional fuel tax (RFT) paid is treated as consideration for a supply of services by the New Zealand Transport Agency, as agency for the relevant local authority. An RFT rebate paid to a registered person is treated as being consideration for a supply of services in the course of the registered person's taxable activity to the extent the RFT rebate relates to fuel used, or available for use, by the person for making taxable supplies. The supplies are therefore subject to GST.

Note: Effective 30 June 2026, the GST treatment of this levy is to be amended.

Election deposits — s 5(6C), (6CA)

Deposits paid by candidates in local body and general elections are deemed to be consideration for the supply of services in the course or furtherance of a taxable activity. The supply is deemed to take place if and when the deposit is forfeited. On forfeiture, the requisite body is required to account for the output tax on the deposit.

Grants and subsidies paid by Crown or public authority — s 5(6D), (6E)

All payments in the nature of grants and subsidies paid by the Crown or a public authority for a registered person's taxable activity are deemed to be consideration for the supply of goods and services in the course or furtherance of that person's taxable activity. Therefore, GST must be accounted for.

However, government grants applied to exempt activities are not subject to GST. For example, a grant made to a non-profit body that provides budgetary services through non-paid volunteers may be exempt from GST (Case M40 ([1990](#)) [12 NZTC 2,247](#)).

Section [5\(6D\)](#) requires a payment to be made in relation to a person's "taxable activity". Where the taxpayer is not required to and does not supply goods or services to any third party in return for the grant or subsidy, this section has no application (*Chatham Islands Enterprise Trust v C of IR* ([1999](#)) [19 NZTC 15,075 \(CA\)](#)) and *C of IR v New Zealand Refining Co Ltd* ([1997](#)) [18 NZTC 13,187 \(CA\)](#)).

There is no exhaustive statutory definition of the term "grant or subsidy", although certain payments are specifically included or excluded from the term. Payments of the kind specified in the Sch [2](#) of the GST Act are declared not to be taxable grants or subsidies for the purposes of s [5\(6D\)](#).

Suspensory loans or advances that become non-repayable because the conditions for non-repayment are satisfied are specific payments that are included within the term "payment in the nature of a grant or subsidy" and are therefore subject to GST.

Income tax refunds do not come within the definition of a "payment in the nature of a grant or subsidy" and are not subject to GST (*Tax Education Office Newsletter* No 42, 5 July 1991 at 11).

Where an entity receives grant money on behalf of another entity, it will not be liable for GST. It is the actual recipient of the grant who must account for output tax. For example, local authorities act as agents for the Hillary Commission in the distribution of funds to the various cultural and sporting bodies. The grants are not subject to GST in the hands of the local authorities as agents. However, output tax must be accounted for on grants paid to registered cultural and sporting bodies for taxable activities.

The Commissioner's statement, [CS 20/05](#), "GST treatment of payments received by a GST registered body corporate from the Ministry of Business, Innovation and Employment under the Leaky Homes Financial Assistance Package (FAP)" considers that a payment under the FAP scheme from MBIE on behalf of the Crown to a body corporate is not a payment in respect of any actual supply of goods and services made by the body corporate in return for that payment. However, the Commissioner considers that these payments

are in the nature of a grant or subsidy from the Crown under s [5\(6D\)](#), and therefore are deemed to be in response to a supply from the body corporate. A GST-registered body corporate that receives such payments is therefore obliged to include the GST component in its GST return and to pay any net GST output tax. A body corporate that is not registered (and not liable to be registered) for GST will not be obliged to account for GST.

Interpretation statement, [IS 23/05](#), “GST – Section [5\(6D\)](#): Payments in the nature of a grant or subsidy” considers s [5\(6D\)](#) operates in a way that treats the payment to be consideration for a supply of goods and services, therefore the person who benefits from the grant or subsidy is required to account for output tax on the amount. The focus is on the character and quality of the payment.

If an unregistered person receives a grant or subsidy and the payment places them over the \$60,000 GST registration threshold, the recipient must register for GST and return the output tax on the amount of subsidy or grant received. There is an exclusion for registration if s [51\(1\)\(a\)](#) applies, which looks back over the month and the 11 preceding months to determine if the threshold has been exceeded. Alternatively, if the grant or subsidy is made for the replacement of a capital asset used in the taxable activity, then the deemed supply may not trigger the deemed supply under s [5\(6D\)](#) because it is used for replacement of plant or another capital asset (s [51\(1\)\(d\)](#)).

Legislative charges — s 5(6EC)

From 1 July 2023, a charge, including a levy or fee, payable under legislation that comes into force on or after 1 July 2023 is treated as consideration for a supply of goods or services. This provision is intended to cover a broad range of fees and payments payable under legislation.

Specifically excluded from this treatment are fines, penalties, interest, tax and any charge specifically listed.

Payments by Crown or social housing agency — s 5(6F)

Amounts payable by the Crown or the social housing agency under the Public and Community Housing Management Act 1992 under reimbursement agreements and tailored agreements are treated as consideration for the supply of accommodation in a dwelling by way of hire. These amounts are therefore exempt from GST ([¶132-052](#)).

Levy payable for supply of eligible infrastructure — s 5(7F)

The Infrastructure Funding and Financing Act 2020 (IFFA) has introduced a new funding and financing model to support the provision of infrastructure for housing and urban development. The IFFA allows for the use of a multi-year levy to fund eligible infrastructure that is to be paid by the beneficiaries of the infrastructure projects over the relevant period. When a person is liable to pay a levy set under s 40 of the IFFA, the levy is treated as being consideration for a supply of goods and services to the person by the responsible Special Purpose Vehicle (being the entity responsible for the financing and construction of the relevant infrastructure assets). The levy is therefore subject to GST.

Note: Effective 30 June 2026, this levy is repealed.

Levy or other amount paid to unit title body corporate — s 5(8A)

A levy or other amount paid to a unit title body corporate by a member of the body corporate is treated as being payment for services supplied by the body corporate for GST purposes. From 30 March 2022, the portion of a unit title body corporate levy that relates to the purchase of exempt supplies is not treated as consideration for services supplied to the member.

Racing club or racing code prizes — s 5(11CB)

A prize received from a racing club or racing code for the performance in a race of a horse or greyhound is treated as consideration for services provided by the registered person to the racing club or racing code under s 5(11CB). The section only applies if the prize is received by a registered person in the course of a taxable activity. This codifies a practice of accounting for GST on race winnings used by the racing industry.

Tokens, stamps and vouchers — s 5(11D)–(11I)

From 1 April 2024, s 5(11G) includes tokens, stamps and vouchers supplied by a remote service ([¶32-680](#)), a listed service ([¶32-640](#)) or relates to distantly taxable goods ([¶32-660](#)).

The issue or sale of a token, stamp or voucher is treated as a supply of goods or services.

However, where tokens, stamps and vouchers with a face value are concerned, the supplier has the option of treating the redemption, rather than the issue or sale, of the token, stamp or voucher as a supply of goods or services by the redeemer if:

- # the supply is a supply of remote services or of distantly taxable goods, or
- # it is not practical for the issue or sale to be treated as a supply of goods or services, and the person issuing or selling the token, stamp or voucher and the person supplying the goods or services specified in the token, stamp or voucher agree.

A situation in which it may not be practical for the issue of a token, stamp or voucher to be treated as a supply of goods or services is when the issuer or seller of the token, stamp or voucher and the supplier of the relevant goods and services are 2 different people. The intended application of s 5(11G) requires that there is an agreement between the issuer/seller and the supplier to this effect, or that the issuer/seller is party to such an agreement. However, no such agreement is required if the issuer/seller of the voucher and the supplier of the goods and services are the same person.

The redemption option does not apply to tokens, stamps and vouchers sold to a non-resident for services performed in New Zealand. The supplier has to account for GST on these items when the customer buys them (s 11A(2)). The redemption option also does not apply to all postage stamps. In addition, if the consideration received for the supply is more than the face value of the token/stamp/voucher, the issue or sale of the token/stamp/voucher is treated as a supply.

A supply does not occur if one registered person issues or sells a token, stamp or voucher to another registered person who subsequently on-sells the token/stamp/voucher, unless the original issuer/seller actually supplies the goods and services when the token/stamp/voucher is redeemed.

Example:

Airport Transfers Ltd issues a voucher to Travel Agent Corp that entitles the bearer to transfers to and from Auckland Airport. Travel Agent Corp sells the voucher to a customer who is travelling to and from Auckland. If Airport Transfers Ltd provides the transfers, a supply occurs when the voucher is originally issued.

Disposal of taxable activity as a going concern — s 5(12)

The disposition of a taxable activity as a going concern is deemed to be a supply of goods made in the course of a taxable activity. This will render the disposition to be taxable if all the necessary criteria are met. The GST status of a “supply of a taxable activity as a going concern” is discussed at [¶32-035](#).

Insurance payments — s 5(13)

A supply of services is deemed to be made in the course or furtherance of a taxable activity if a registered person receives an insurance payment for a loss incurred while carrying on a taxable activity.

Example:

Dan Driver is a GST-registered courier. A truck runs into his van while Dan is working, causing \$3,000 worth of damage. The truck owner admits liability. Dan receives a cheque from the truck owner's insurance company for \$3,000. Dan has to pay output tax of \$391.30 (3/23 of \$3,000) and the insurance company can claim an input tax credit of \$391.30.

Insurance is defined for GST purposes as “insurance or guarantee against loss, damage, injury or risk of any kind whatever”. “Life insurance” is expressly excluded from that definition. There are 3 exceptions to the above rules:

- # The rule does not apply to payments for loss of earnings to persons both registered and unregistered. Under such contracts of insurance, the insurance company also has no corresponding automatic right to a deduction of nominal input tax. (See para (b) of the proviso to ss [5\(13\)](#) and [20\(3\)\(d\)\(v\)](#).)
- # The rule will not apply to a payment received under a contract of insurance that is not liable for GST.
- # The rule will also not apply to a payment received from a non-resident insurer. (See para (c) of the proviso to ss [5\(13\)](#) and [20\(3\)\(d\)\(vi\)](#).)
- # The rule will also not apply to the supply of the contract of insurance where it is a supply of remote services that is zero-rated under ss [11A\(1\)\(x\)](#) (see para (d) of the proviso to s [5\(13\)](#) and [20\(3\)\(d\)\(vii\)](#)). See [¶32-680](#).

The Commissioner's statement, [CS 20/01](#), “GST liability for insurance and settlement payments to third party claimants – Section [5\(13\)](#) of the Goods and Services Tax Act 1985” confirms the Commissioner's long-standing position that when an insurer of an insured person pays an amount to a GST-registered third-party claimant in relation to a claim that the third-party claimant has against the insured person, and the other requirements of s [5\(13\)](#) are met, the third-party claimant must return GST on the receipt of that payment.

Insurance payments to non-profit bodies — s 5(13AA)

Non-profit bodies are able to claim input tax deductions for most goods and services even if they do not directly relate to the making of taxable supplies under s [20\(3K\)](#). An asset sold by a non-profit body is subject to GST on sale or an equivalent event if GST input tax deductions have been claimed by the non-profit body in respect of the asset ([¶32-048](#)). Section [5\(13AA\)](#) provides that if a non-profit body claims a deduction for goods and services used in an activity that is not a taxable activity, s [5\(13\)](#) will apply to a payment under a contract of insurance as if the relevant asset were part of a taxable activity of the registered person. An exception applies if the person has made an election to treat the goods and services solely for use in a non-taxable activity under s [20\(3KB\)](#).

Refund of excise duty — s 5(13A)

A supply of services is made in the course or furtherance of a taxable activity when a registered person receives a refund of excise duty paid out of the Crown Bank Account under the Land Transport Management Act 2003 to the extent the duty is incurred with the intention of using the supply for making taxable supplies.

Subrogation payments — s 5(13B)

A subrogation payment is a payment made by a third party to an insurer in respect of a liability owed by the third party to the insured person. Such payments are subject to GST. The payment is deemed to be consideration for a supply of services performed by the insurer in the course of the insurer's taxable activity. The supply is deemed to be performed on the day payment is received by the insurer.

Law: GST s [5](#)

Last reviewed on 31 December 2025